

Wealth Strategy Snapshot: Educational Analysis

2026 Tax Year Planning | H1B Visa Household

Prepared for Wei & Mei Chen | February 2026

Educational scenario modeling for discussion with licensed professionals

H1B HOUSEHOLD EDITION — IMMIGRATION-COMPLIANT STRATEGIES ONLY

Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to your financial profile as an H1B visa household. All strategies have been filtered for immigration compliance — strategies requiring business ownership or active income are available only through Mei's business entities operating under H4 EAD authorization. Wei's strategies are limited to those available to any W-2 employee (GREEN), plus passive investing.

This snapshot includes **4 direct strategies** available to Wei as a W-2 employee and **9 strategies** available through Mei's business entities, along with **2 strategies** that require immigration attorney review before implementation. Across tax optimization, passive investment income and appreciation, real estate modeling, and wealth positioning, this snapshot models potential first-year value ranging from **\$268,875** (conservative scenario) to **\$473,157** (aggressive scenario including real estate acquisition and full equipment purchases).

Implementation of any strategy should be verified with your CPA, licensed financial advisor, **and** immigration attorney. The modeled tax savings portion alone ranges from \$59,618 to \$74,693, representing meaningful reduction from the household's current ~\$205,000 annual tax burden.

Section 3: Current Financial Position

Household Income Summary

SOURCE	TYPE	ANNUAL AMOUNT	NOTES
Wei — Base Salary	W-2	\$350,000	H1B sponsor employer (Engineering Director)
Wei — RSU Vestings	W-2	~\$120,000	Supplemental income; 22% flat withholding rate
Wei — Annual Bonus	W-2	~\$30,000	Supplemental income withholding
Mei — Chen Tea Imports (S-Corp)	SE / S-Corp	~\$65,000 net	H4 EAD; growing 30% YoY
Mei — Bookkeeping Consulting (Sole Prop)	SE / 1099	~\$20,000 net	H4 EAD; Mei Chen Consulting LLC
Total Household		~\$585,000	

Immigration Status Summary

ITEM	STATUS
Wei — Visa Type	H1B (Year 9, AC21 extensions beyond 6 years)
Wei — I-140	Approved
Wei — Green Card Category	EB-1 China, Priority Date: October 2021
Estimated GC Wait Time	3–5 years
Mei — Visa Type	H4 with approved EAD
H4 EAD Basis	Wei's approved I-140

Asset Summary

ASSET CATEGORY	APPROXIMATE VALUE
Primary Residence (San Jose)	~\$1,350,000 (equity: ~\$550,000)
Retirement Accounts (all)	~\$502,000
Crypto (mostly Bitcoin)	~\$102,000
Liquid Cash (deployable)	~\$215,000 (\$180K savings + \$35K business retained)
Emergency Fund	~\$90,000 (6+ months)
529 Plans (2 children)	~\$45,000
Non-Mortgage Debt	\$12,000 (car loan \$8K + business LOC \$4K)

Current Tax Situation

ITEM	DETAIL
Filing Status	Married Filing Jointly
Estimated Gross Income	~\$585,000
Current Annual Tax Burden	~\$205,000 (federal + CA state + FICA)
Effective Tax Rate	~35%
Federal Marginal Bracket (2026)	32% (MFJ taxable income \$403,551–\$512,450)
CA State Marginal Rate	9.3%
Combined Marginal Rate	41.3%

Existing Strategies Already Implemented

STRATEGY	STATUS
Employer 401(k) — \$24,500 max (2026)	✅ Maxed
HSA — \$8,750 family (2026)	✅ Maxed (invested, paying OOP)
Backdoor Roth IRA — both spouses	✅ \$7,500 each (\$15,000 total)
S-Corp Election — tea business	✅ Salary \$45K / distributions ~\$20K
Solo 401(k) — Mei's businesses	✅ Employee + employer portions
Home Office Deduction	✅ Through Mei's businesses
Vehicle/Mileage Deduction	✅ Through Mei's business (BMW X3, ~40% biz use)
Accountable Plan	✅ Through Mei's S-Corp
529 Contributions	✅ \$500/mo per child (\$12,000/yr total)

Section 3.5: Immigration Status & Strategy Eligibility Assessment

H1B Visa Household: Strategy Availability

ASSESSMENT ITEM	STATUS	IMPACT ON STRATEGIES
H1B Holder	Wei Chen, Year 9 (AC21)	W-2 strategies + passive investing only
I-140 Status	Approved (EB-1 China)	Enables H4 EAD for Mei; AC21 portability for Wei
Spouse Status	Mei — H4 EAD Approved	Can form and operate business entities; enables YELLOW strategies
Green Card Timeline	Est. 3–5 years	Long-term planning horizon; consider Green Card Unlock strategies
Liquidity Risk Level	LOW	I-140 approved, in-demand skills, 6+ mo emergency fund, spouse income

Strategy Color Classification

COLOR	MEANING	COUNT IN THIS SNAPSHOT
 GREEN	Available directly to Wei (W-2 employee strategies + passive investing)	4 strategies
 YELLOW	Available through Mei's business entities (H4 EAD)	9 strategies
 ORANGE	Requires immigration attorney review before implementation	2 strategies
 RED	Prohibited for H1B holder — not included	0 strategies

All strategies in this document have been filtered for H1B immigration compliance. No prohibited (RED) strategies are included. Verify all YELLOW and ORANGE strategies with your immigration attorney before implementation.

Section 4: Timeline Awareness & Implementation Considerations (2026 Planning)

TIMEFRAME	DISCUSSION POINTS	WHO
Week 1	Immigration attorney consultation — Review all YELLOW and ORANGE strategies for H1B/H4 compliance: rental property ownership structure, Mei's potential REP status, hiring children through sole prop, and Augusta Rule implementation. Obtain written guidance on any gray areas.	Wei + Mei + Immigration Attorney
Week 1–2	CPA strategy session — Review Augusta Rule documentation requirements (through Mei's S-Corp), children's employment setup in Mei's consulting sole prop (W-4 preparation, reasonable task documentation, compensation benchmarks), Section 179 timing for Mei's planned business equipment purchases. Discuss 2025 cleanup items. Confirm Solo 401(k) employer contribution calculations for 2025.	Mei + CPA
Week 2	Real estate research — Identify licensed property management companies in target markets (TX, FL, OH). Obtain fee structures and management agreements. H1B compliance requires fully passive ownership with professional management. Mei can coordinate as the active business operator.	Mei
Week 2–3	Investment deployment — Begin dollar-cost-averaging into Bitcoin and STRC positions per illustrative scenario. Open custodial Roth IRA accounts for both children (son age 12, daughter age 8). All passive investment activities with no H1B restrictions.	Wei + Mei
Week 3	Augusta Rule — first event through Mei's S-Corp (document meeting purpose, attendee list, fair market rate analysis for San Jose area, photos of space setup). Prepare rental agreement between Mei's business and the Chen household.	Mei
Week 3–4	Children's employment begins in Mei's consulting sole prop (Mei Chen Consulting LLC) with age-appropriate task documentation, time logs, and payment records. Establish payroll system for children's wages.	Mei
Week 4	Equipment acquisition planning — Mei's tea business packaging equipment and potential delivery van purchase. Time Section 179 deductions for maximum 2026 tax benefit through Mei's entities.	Mei + CPA

These are considerations and discussion points, not directives. All implementation should be coordinated with your CPA and immigration attorney. Timeline is illustrative and may vary based on professional availability and individual circumstances.

Section 4.5: 2025 Tax Year — Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions can still be made until the indicated deadlines:

STRATEGY	2025 LIMIT	WHO	DEADLINE
IRA (Backdoor Roth)	\$7,000 each (\$14,000 total)	Both (GREEN)	April 15, 2026
HSA Contributions	\$8,550 family	Wei's employer plan (GREEN)	April 15, 2026
Solo 401(k) Employer Portion	25% of net SE income	Mei's businesses (YELLOW)	Tax filing deadline + extensions
SEP IRA	25% of compensation, up to \$69,000	Mei (YELLOW)	Tax filing deadline + extensions

Already Locked for 2025: 401(k) employee deferrals (Dec 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred in 2025), Solo 401(k) employee contributions (Dec 31 deadline passed).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return. 2025 IRA limit was \$7,000 (not 2026's \$7,500).

Section 5: 2026 Tax Optimization Strategies to Explore

● GREEN — DIRECT

Strategy Concept: OBBBA SALT Cap Increase (\$40,000)

Potential Value: ~\$9,600

What It Is: The One Big Beautiful Bill Act (OBBBA, signed July 4, 2025) raised the state and local tax (SALT) deduction cap from \$10,000 to \$40,000. For a California household paying \$50,000+ in state income tax plus property taxes, this unlocks an additional \$30,000 in federal deductions. At your 32% federal marginal rate, the incremental benefit models at approximately \$9,600 in federal tax savings.

How It Works:

1. Calculate total SALT (CA income tax + property tax): ~\$50,000 state income tax + ~\$16,800 property tax = ~\$66,800
2. Under old \$10,000 cap, only \$10,000 was deductible. Under OBBBA, \$40,000 is deductible.
3. Incremental deduction: $\$30,000 \times 32\% \text{ federal} = \$9,600$ in additional tax savings

Eligibility Criteria: Available to all itemizing taxpayers. Your household itemizes (mortgage interest + SALT + charitable exceed \$32,200 MFJ standard deduction).

H1B Compliance: Does not require business ownership or active income. Available to all W-2 employees regardless of visa status. Automatic on your MFJ return.

Verify deduction amounts with your CPA. The \$40,000 SALT cap is effective for tax years beginning after December 31, 2024 under OBBBA. 2026 limits shown.

Strategy Concept: Augusta Rule (IRC §280A(g))

Potential Value: \$3,758 – \$4,047

What It Is: Under IRC §280A(g), a home rented for 14 or fewer days per year generates tax-free rental income to the homeowner, while the renting business deducts the payment as a legitimate business expense. Mei's S-Corp (Chen Tea Imports) rents the Chen home for business planning meetings, team sessions, and strategic planning days at fair market rates.

How It Works:

1. Mei's S-Corp pays \$600–\$650/day to rent the Chen home for qualifying business use days (up to 14 days per year)
2. $14 \text{ days} \times \$650 = \$9,100$ deductible business expense for Mei's S-Corp
3. \$9,100 received by Chen household is tax-free (IRC §280A(g))
4. Combined tax benefit: $\$9,100 \times 41.3\% = \$3,758$ (deduction) + tax-free income

Eligibility Criteria: Business must have legitimate reason to use the space. Document meeting agendas, attendees, setup photos, and comparable venue rates in the San Jose area.

H1B Compliance: This strategy is available through Mei's business entity (Chen Tea Imports LLC, S-Corp) operating under H4 EAD authorization. Wei does not participate in operating this business. Wei is the passive homeowner receiving tax-free rental income under the 14-day rule. The business decision to rent the space is made by Mei as the business operator.

Verify eligibility and fair market rate documentation with your CPA. 2026 limits shown. H1B immigration compliance: Wei is a property owner receiving passive rental income, not operating a business. Consult immigration attorney to confirm structuring.

Strategy Concept: Employing Children (Ages 12 & 8) in Spouse's Sole Proprietorship

Potential Value: \$3,304 – \$4,956

What It Is: Children ages 7–17 employed in a parent's sole proprietorship are exempt from FICA taxes (Social Security and Medicare). Each child's income up to the 2026 standard deduction of \$16,100 is federally tax-free. Children with earned income can also contribute to Roth IRAs, creating decades of tax-free compounding.

How It Works:

1. Mei employs both children in her consulting sole proprietorship (Mei Chen Consulting LLC) for age-appropriate tasks: product packaging, office organization, basic data entry, social media photo assistance
2. Son (age 12): \$4,000–\$6,000/year in reasonable compensation; Daughter (age 8): \$4,000–\$6,000/year
3. Deduction to business: $\$8,000\text{--}\$12,000 \times 41.3\%$ combined rate = \$3,304–\$4,956 in household tax savings
4. Children pay \$0 in tax (under standard deduction). No FICA in parent's sole prop.
5. Each child contributes earned income to Roth IRA (\$4,000–\$6,000/year, up to \$7,500 max)

Eligibility Criteria: The employing business MUST be a parent's sole proprietorship (not S-Corp, not LLC taxed as S-Corp). FICA exemption only applies to parent's sole prop. Tasks must be age-appropriate and compensation must be reasonable for the work performed. Maintain time logs, task descriptions, and payment records.

H1B Compliance: This strategy is available through Mei's sole proprietorship (Mei Chen Consulting LLC) operating under H4 EAD authorization. Wei does not participate in operating this business or in supervising the children's work within the business. Mei makes all employment decisions.

Verify compensation reasonableness and documentation requirements with your CPA. The FICA exemption applies only in a sole proprietorship (not S-Corp). Consult immigration attorney to confirm this structure under H4 EAD. 2026 limits shown.

Strategy Concept: Section 179 / Bonus Depreciation on Business Equipment

Potential Value: \$4,130 – \$17,553

What It Is: Section 179 allows businesses to deduct the full purchase price of qualifying equipment in the year of acquisition, up to \$2,500,000 (OBBBA expanded limit). Additionally, OBBBA permanently restored 100% bonus depreciation for qualified property acquired and placed in service after January 19, 2025. For Mei's planned packaging equipment (~\$10K) and potential delivery van (~\$32,500), this creates immediate tax savings.

How It Works:

1. Conservative: Packaging equipment + shipping upgrades (\$10,000) $\times$ 41.3% = \$4,130 tax savings
2. Aggressive: Equipment (\$10,000) + delivery van (\$32,500) = \$42,500 $\times$ 41.3% = \$17,553 tax savings
3. Full deduction taken in year of purchase (2026). No multi-year depreciation schedule required.

Eligibility Criteria: Equipment must be used more than 50% for business purposes. The delivery van, if purchased, must be primarily for Mei's tea business operations. Document business use percentage. Listed property rules apply to vehicles.

H1B Compliance: These purchases are through Mei's business entities operating under H4 EAD authorization. Wei does not participate in equipment purchase decisions or business operations. Equipment is for Mei's businesses exclusively.

Verify Section 179 and bonus depreciation eligibility with your CPA. Vehicle deduction limits may apply (luxury auto limits for passenger vehicles). 100% bonus depreciation applies to property acquired after Jan 19, 2025 under OBBBA. 2026 limits shown.

Strategy Concept: Solo 401(k) Maximization (Spouse's Self-Employment Income)

Potential Value: \$16,293

What It Is: Solo 401(k) plans allow self-employed individuals to make both employee deferrals (\$24,500 for 2026, age under 50) and employer profit-sharing contributions (25% of W-2 salary from S-Corp or 25% of net SE income from sole prop). Mei has Solo 401(k) plans for both her businesses, maximizing retirement contributions and creating significant tax deductions.

How It Works:

1. Tea S-Corp: Employee deferral (\$24,500) + employer contribution (25% of \$45,000 W-2 = \$11,250) = \$35,750
2. Consulting sole prop: Employer contribution only (employee deferral already used at tea S-Corp). 25% of ~\$14,800 net SE after SE tax adjustment = ~\$3,700
3. Total estimated Solo 401(k) contributions: ~\$39,450
4. Tax savings: $\$39,450 \times 41.3\% = \$16,293$

Eligibility Criteria: Self-employment income required. Mei (age 41) is under 50, so no catch-up contributions apply. Combined employee deferrals across all plans cannot exceed \$24,500 (2026 limit). Plan must be established by December 31, 2026 for employee contributions.

H1B Compliance: Solo 401(k) contributions are on Mei's self-employment income through her businesses operating under H4 EAD authorization. Wei does not participate in these business plans. Wei's retirement contributions go through his employer's 401(k) separately.

Verify contribution limits across multiple plans with your CPA. Employee deferral limit (\$24,500) applies in aggregate across all 401(k) plans. Employer contributions are per-plan. SECURE 2.0 note: If Mei earned \$150,000+ in FICA wages in 2025 from the same employer, catch-up contributions would need to be Roth — but this does not apply here as Mei is under 50. 2026 limits shown.

Strategy Concept: S-Corporation FICA Tax Savings

Potential Value: \$3,060

What It Is: By electing S-Corp status for Chen Tea Imports LLC, Mei pays herself a reasonable salary (\$45,000) subject to payroll taxes, while the remaining ~\$20,000 in profit passes through as a distribution not subject to self-employment tax (15.3% FICA). This structure is already in place and generating ongoing savings.

How It Works:

1. Net profit: ~\$65,000. Reasonable salary: \$45,000 (subject to FICA).
2. Distribution: ~\$20,000 (exempt from 15.3% SE tax)
3. FICA savings: $\$20,000 \times 15.3\% = \$3,060/\text{year}$

Eligibility Criteria: S-Corp salary must be "reasonable" for the services performed. The IRS scrutinizes S-Corps that pay unreasonably low salaries. \$45,000 appears reasonable for the scope of Mei's tea business role.

H1B Compliance: This strategy operates through Mei's business entity (Chen Tea Imports LLC, S-Corp) under H4 EAD authorization. Wei does not participate in operating this business.

Verify salary reasonableness with your CPA annually, especially as the business grows at 30% YoY. Salary may need to increase as revenue grows. 2026 limits shown.

Strategy Concept: Rental Property Acquisition with Cost Segregation

Potential Value: \$9,086 – \$46,294 (Aggressive scenario only)

What It Is: Purchasing a turnkey long-term rental property (\$375,000) in a cash-flowing market (TX, FL, or OH) with a licensed property management company handling all operations. Cost segregation study reclassifies building components for accelerated depreciation. Under OBBBA, 100% bonus depreciation applies to reclassified components for property acquired after January 19, 2025.

How It Works:

1. Purchase price: \$375,000. Down payment: 20% (\$75,000). Building basis: \$300,000 (after 20% land exclusion).
2. Cost segregation reclassifies ~35% of building basis (\$105,000) to shorter-lived property.
3. 100% bonus depreciation on reclassified portion: \$105,000 (Year 1).
4. Remaining straight-line: $(\$300K - \$105K) / 27.5 = \$7,091$ (Year 1).
5. Total Year 1 depreciation: \$112,091.
6. LTR NOI (after property management): ~\$22,000/year.
7. Depreciation shelters rental income from tax: $\$22,000 \times 41.3\% = \$9,086$ in tax savings on rental income.
8. Remaining ~\$90,000 in depreciation losses: PASSIVE, carried forward unless Mei qualifies for REP or STR.

Eligibility Criteria: H1B holders may own real property and receive passive rental income. Active property management (tenant screening, maintenance coordination, rent collection) must be handled by a licensed property management company.

H1B Compliance: This strategy involves property ownership by the Chen household with all active management handled by a licensed third-party property management company or Mei's entity. Wei must NOT manage tenants, maintenance, or operations. Consult your immigration attorney before implementation to verify that this property ownership structure does not conflict with H1B/H4 visa restrictions.

Cost Segregation W-2 Offset — Critical Note: The ~\$90,000 in excess depreciation losses (beyond what shelters rental income) are classified as passive activity losses under IRC §469. These can only offset Wei's W-2 income on the MFJ return if Mei qualifies for Real Estate Professional status (750+ hours, majority of working time) OR the property qualifies as an STR with Mei's material participation. Without REP/STR qualification, passive losses accumulate and are released at property disposition.

This strategy involves both tax and immigration complexities. Verify property ownership structure, cost segregation eligibility, and passive activity loss rules with your CPA. Verify H1B compliance of ownership structure and Mei's potential REP status with your immigration attorney. Some immigration attorneys consider REP status as evidence of operating a business, which could create concerns for H4 EAD holders. Others view it as purely a tax classification. This is an unsettled area — obtain written guidance. 2026 limits shown. 100% bonus depreciation applies to property acquired after Jan 19, 2025 under OBBBA.

Strategy Concept: Qualified Business Income (QBI) Deduction — §199A

Potential Value: \$1,280

What It Is: Section 199A provides a deduction of up to 20% of qualified business income from pass-through entities. Made permanent by OBBBA. For Mei's S-Corp pass-through income, this provides a federal deduction. Note: California does not conform to the federal QBI deduction.

How It Works:

1. S-Corp pass-through income (distributions): ~\$20,000
2. QBI deduction: $20\% \times \$20,000 = \$4,000$ federal deduction
3. Tax savings: $\$4,000 \times 32\%$ federal only = \$1,280 (CA nonconforming)

Eligibility Criteria: Phase-out thresholds for specified service trades/businesses (SSTB) begin at \$397,000 MFJ taxable income (2026). Bookkeeping consulting may be classified as SSTB. The tea e-commerce business would not be SSTB. Verify with CPA which income qualifies given household AGI.

H1B Compliance: This deduction flows from Mei's business entity (Chen Tea Imports LLC, S-Corp) operating under H4 EAD authorization. Wei does not participate in this business.

Verify QBI deduction eligibility and phase-out calculations with your CPA. SSTB classification and W-2 wage limitations may affect the available deduction at your income level. 2026 limits shown.

Strategy Concept: RSU Diversification & Tax Optimization

Potential Value: \$0 – \$3,060

What It Is: Wei currently receives ~\$120,000/year in RSU vestings, which are taxed as ordinary income at vesting (included in W-2). Supplemental income withholding is typically 22% federal, often resulting in under-withholding for high earners in the 32% bracket. A systematic approach to RSU management can optimize tax treatment and reduce concentration risk.

How It Works:

1. RSUs taxed at vesting as ordinary income (no choice here — this is mandatory)
2. Post-vesting: holding for 12+ months converts subsequent appreciation to LTCG (15–20% vs. 32% ordinary)
3. On \$120K with 15% appreciation over holding period: LTCG vs. ordinary rate savings = ~\$3,060
4. Trade-off: concentration risk in single company stock. Consider holding 50% of vested shares while immediately diversifying the other 50%.
5. Withholding gap: 22% withheld vs. 32% owed = ~\$12,000 annual shortfall. Plan quarterly estimated payments or increase W-4 additional withholding.

Eligibility Criteria: Available to all RSU holders. Risk tolerance must accommodate potential decline in employer stock price during the holding period.

H1B Compliance: RSU management is a passive investment activity. Holding or selling vested stock does not conflict with H1B employment restrictions. Wei is managing his personal investment portfolio, not operating a business.

Discuss RSU diversification timing with a licensed financial advisor. Consider company-specific risk factors. If Wei's H1B status were to change and he leaves the US, unvested RSUs may be forfeited — review equity agreement terms. 2026 limits shown.

Section 6: Primary Strategy Education — Real Estate Acquisition for H1B Households

The Core Question: Can Rental Property Depreciation Offset Wei's \$500K W-2?

This is the central tax planning question for the Chen household, and the one where two CPAs gave contradictory advice. Here is how the mechanics work:

Passive Activity Loss Rules (IRC §469)

Rental activity is generally treated as **passive** regardless of participation level. Passive losses can only offset passive income. Wei's \$500K W-2 income is **active/non-passive**. Without an exception, cost segregation losses from rental property would

accumulate as suspended passive losses, only usable against future passive income or released at property disposition.

Exception 1: Real Estate Professional (REP) Status

If **Mei** qualifies as a Real Estate Professional, rental losses become non-passive and CAN offset Wei's W-2 on the MFJ return.
REP requirements:

REQUIREMENT	THRESHOLD	MEI'S SITUATION
750+ hours in real property activities	750 hours/year	Possible with 2–3 properties + management responsibilities
Majority of working time in RE	>50% of total working hours	Challenging — Mei already works 20–30 hrs/wk on tea business + consulting
Material participation in each property	Various tests (100+ hrs typical)	Possible with active management through her entity

Challenge for Mei: With two active businesses consuming significant time, the "majority of working time" test for REP is difficult. Mei would need to spend MORE hours on real estate than on her tea business and consulting combined. This may become feasible if she scales back consulting or transitions her primary focus to property management.

Exception 2: Short-Term Rental (STR) Material Participation

If average guest stay is under 7 days, the property is NOT treated as rental activity for passive loss purposes. If Mei materially participates (100+ hours, more than anyone else), losses become non-passive. However, STR management is time-intensive and the Chens specifically indicated they are NOT interested in STR management.

Immigration Gray Area

Some immigration attorneys argue that claiming REP status implies Mei is operating a real estate business, which could trigger scrutiny of her H4 EAD activities. Others view REP as purely a tax classification with no immigration implications. This is unsettled law. Written guidance from an immigration attorney is essential before pursuing this path.

Recommended Structuring Approach

OPTION	STRUCTURE	PROS	CONS
A. Personal names (joint)	Wei + Mei on title, professional PM company	Simplest. Best mortgage rates. No CA \$800 LLC fee.	No liability protection beyond insurance.
B. Mei's new LLC	Single-member LLC in Mei's name	Liability protection. Clear H1B separation.	CA \$800/year fee. May complicate financing. Wei is not a member.
C. Existing entity	Chen Tea Imports LLC holds property	No new entity needed.	Mixes business types. Complicates accounting. Not recommended by most CPAs.

The most common approach for H1B households: **Option A** for the first property (simplicity + best financing), with a plan to transfer into an LLC after closing if desired. Professional property management is required regardless of ownership structure.

Real estate strategies have specific documentation and participation requirements. Work with a qualified tax professional and immigration attorney to ensure compliance with both IRC §469 passive activity rules and H1B/H4 visa restrictions. The analysis above is educational — individual results depend on specific circumstances.

Section 6.5: Future Strategy Opportunities — After Green Card Approval

Strategies That Become Available with Green Card

Based on your current profile, receiving your green card (or EAD through I-485 filing) would unlock the following additional strategies. Estimated timeline: 3–5 years (EB-1 China, priority date October 2021).

STRATEGY	WHAT IT ENABLES	ESTIMATED ANNUAL VALUE
Launch tech consulting practice	S-Corp in Wei's name, Solo 401(k), home office, vehicle deductions on Wei's own business income	\$15,000 – \$25,000+
Engineering education platform	Content creation, courses, speaking — all deductible against Wei's business income	Revenue potential + deductions
Active RE management + REP status (Wei)	No immigration risk. Full cost seg losses directly offset W-2 income.	\$25,000 – \$45,000
Multiple entity structuring	Management company, IP holding entity, state optimization with Wei as officer	\$5,000 – \$10,000
Augusta Rule through Wei's entity	Second business entity can also rent the home	\$3,500 – \$4,000
Full §179 on Wei's equipment	Laptops, office setup, equipment for consulting practice	Variable
CA → no-income-tax state relocation	If Wei's employer allows remote or he consults independently — eliminate ~\$50K CA state tax	\$35,000 – \$50,000+
Estimated Additional Annual Tax Savings		\$48,500 – \$84,000+

Planning Ahead: Consider preparing business plans, building professional networks, developing course content, and identifying your consulting niche now. These are personal development activities with no H1B implications. When the green card arrives, you can execute quickly rather than starting from scratch.

These strategies are NOT available while on H1B visa. Do not implement until you have received your green card or EAD through I-485 filing. Verify timing with your immigration attorney. The state relocation strategy requires careful analysis of Mei's existing CA business operations and client base.

Section 7: Illustrative Portfolio Scenario

All investment activities shown are passive in nature and do not conflict with H1B employment restrictions. Purchasing and holding Bitcoin, STRC, and ETFs are passive investment activities with no visa implications.

Educational Investment Scenario (Based on Profile Analysis)

Wei indicated aggressive risk tolerance, a target of 60-80% Bitcoin allocation, interest in STRC for passive income, and minimal broad market exposure (already has S&P-like exposure through 401(k) target date funds). Existing crypto position: ~\$102,000 (mostly Bitcoin). Liquidity risk: LOW (no H1B adjustment needed).

ASSET CLASS	CONSERVATIVE %	CONSERVATIVE \$	AGGRESSIVE %	AGGRESSIVE \$	EDUCATIONAL RATIONALE	H1B
Bitcoin	65%	\$48,750	70%	\$73,500	Core wealth accumulation vehicle. Fixed supply, growing institutional adoption. Builds toward \$300K BTC allocation goal.	Passive
STRC	20%	\$15,000	20%	\$21,000	Bitcoin-correlated income (~11.25% current annual yield, paid monthly). Passive cash flow without selling BTC. Verify current yield at time of investment.	Passive
VTI/VOO	15%	\$11,250	10%	\$10,500	Broad U.S. equity diversification. Low-cost index exposure. Complements existing 401(k) target date fund allocation.	Passive
Investment Capital		\$75,000		\$105,000		

RE Down Payment	—	\$0	—	\$75,000	Aggressive scenario: one turnkey LTR (\$375K) in cash-flowing market with professional property management.	 Passive
Total Deployed		\$75,000		\$180,000		

Existing positions not shown above: ~\$102K crypto (mostly BTC), ~\$502K retirement accounts, ~\$45K 529 plans. Combined with new deployment, the Bitcoin position (existing + new conservative) reaches ~\$151K, progressing toward the \$300K target.

FBAR/FATCA Note: If Wei or Mei maintain financial accounts in China with aggregate balances exceeding \$10,000 at any point during the year, FBAR filing (FinCEN Form 114) is required by April 15. FATCA (Form 8938) required if meeting \$50,000+ threshold. Penalties for non-filing are severe. Discuss with your CPA.

These scenarios are for educational illustration. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation. Bitcoin and cryptocurrency investments are highly volatile and speculative. STRC dividends are not guaranteed — verify current yield at time of investment. Past performance does not guarantee future results.

Section 8: Modeled First-Year Value Summary (2026 Tax Year)

Category A1: Direct Tax Optimization (GREEN — Wei's W-2 Strategies)

STRATEGY	CONSERVATIVE	AGGRESSIVE
Employer 401(k) tax savings ($\$24,500 \times 41.3\%$)	\$10,119	\$10,119
HSA tax savings ($\$8,750 \times 41.3\%$)	\$3,614	\$3,614
OBBBA SALT cap benefit ($\$30K \text{ incremental} \times 32\% \text{ fed}$)	\$9,600	\$9,600
A1 Subtotal (GREEN)	\$23,333	\$23,333

Category A2: Spouse's Business Tax Optimization (🟡 YELLOW — Through Mei's Entities)

STRATEGY	CONSERVATIVE	AGGRESSIVE
Solo 401(k) tax savings — Mei's businesses ($\$39,450 \times 41.3\%$)	\$16,293	\$16,293
S-Corp FICA savings — tea business ($\$20K \times 15.3\%$)	\$3,060	\$3,060
Augusta Rule — Mei's S-Corp ($14 \text{ days} \times \$650 = \$9,100 \times 41.3\%$)	\$3,758	\$3,758
Home Office — Mei's businesses ($\$2,000 \times 41.3\%$)	\$826	\$826
Vehicle/Mileage — Mei's business ($8,000 \text{ mi} \times \$0.725 = \$5,800 \times 41.3\%$)	\$2,395	\$2,395
Hire Children — Mei's sole prop ($\$8K\text{--}\$12K \times 41.3\%$)	\$3,304	\$4,956
Section 179 Equipment — Mei's businesses ($\$10K\text{--}\$42.5K \times 41.3\%$)	\$4,130	\$17,553
Accountable Plan — Mei's S-Corp ($\$3,000 \times 41.3\%$)	\$1,239	\$1,239
QBI §199A — Mei's S-Corp ($\$4,000 \times 32\% \text{ fed only}$)	\$1,280	\$1,280
A2 Subtotal (YELLOW)	\$36,285	\$51,360

⚠️ *H1B Immigration Compliance: All A2 strategies operate through Mei's business entities under H4 EAD authorization. Wei must NOT participate in operating, managing, or making business decisions for these entities. Verify structuring with your immigration attorney.*

Category A — Total Tax Optimization

	CONSERVATIVE	AGGRESSIVE
A1 (GREEN — Direct)	\$23,333	\$23,333
A2 (YELLOW — Mei's Entities)	\$36,285	\$51,360
Tax Subtotal	\$59,618	\$74,693

Category B: Investment Income — Yield/Dividends (🟢 All Passive — H1B Compliant)

SOURCE	CONSERVATIVE	AGGRESSIVE
STRC yield (~11% × position)	\$1,650	\$2,310
VTI/VOO dividends (~1.5%)	\$169	\$158
Income Subtotal	\$1,819	\$2,468

Category C: Investment Appreciation — Modeled Growth (🟢 All Passive — H1B Compliant)

ASSET	CONSERVATIVE	AGGRESSIVE
Bitcoin (25% / 50% modeled appreciation)	\$12,188	\$36,750
STRC (15% / 30% modeled appreciation)	\$2,250	\$6,300
VTI/VOO (8% / 12% modeled appreciation)	\$900	\$1,260
Appreciation Subtotal	\$15,338	\$44,310

Appreciation rates are illustrative scenarios, not guarantees. Bitcoin and STRC are highly volatile. Past performance does not predict future results. These are modeled projections for educational purposes only.

Category D: Real Estate (🟡 Aggressive Only — Professional Property Management Required)

ITEM	CONSERVATIVE	AGGRESSIVE
LTR Annual Cash Flow (NOI after PM fees)	\$0	\$22,000
Property Appreciation (4% of \$375K)	\$0	\$15,000
Mortgage Principal Paydown (Year 1)	\$0	\$4,500
Cost Seg — tax savings on rental income (\$22K sheltered × 41.3%)	\$0	\$9,086
RE Subtotal	\$0	\$50,586

⚠️ *H1B Real Estate Compliance: Property managed by licensed property management company. Self-management by Wei is prohibited. Cost seg losses beyond rental income offset (\$~90K) are passive — they can only offset Wei's W-2 income if Mei qualifies for REP or STR material participation. Consult immigration attorney and CPA.*

Category E: Cash Flow Improvements

ITEM	CONSERVATIVE	AGGRESSIVE
Debt payoff interest savings (business LOC \$4K at 7.5%)	\$300	\$300
Cash Flow Subtotal	\$300	\$300

Category F: Wealth Building — Dollars Positioned (2026)

ITEM	CONSERVATIVE	AGGRESSIVE
Wei — Employer 401(k) (🟢)	\$24,500	\$24,500
Mei — Solo 401(k) (🟡 through Mei's entities)	\$39,450	\$39,450
Both — Backdoor Roth IRA (\$7,500 each) (🟢)	\$15,000	\$15,000
Wei — HSA (🟢)	\$8,750	\$8,750
529 Plans — 2 children (\$500/mo each) (🟢)	\$12,000	\$12,000
Children's Roth IRA — from earned income (🟡)	\$8,000	\$12,000
Augusta Rule income received — tax-free (🟡)	\$9,100	\$9,100
Investment capital deployed (🟢)	\$75,000	\$105,000
RE equity position — down payment (🟠)	\$0	\$75,000
Wealth Building Subtotal	\$191,800	\$300,800

Future value note — Green Card Strategy Unlock: once Wei's green card is approved, an additional \$48,500–\$84,000+ in annual tax optimization strategies become available. See Section 6.5.

Grand Total — All Categories

CATEGORY	CONSERVATIVE	AGGRESSIVE
A: Tax Optimization (A1 + A2)	\$59,618	\$74,693
B: Investment Income	\$1,819	\$2,468
C: Investment Appreciation	\$15,338	\$44,310
D: Real Estate	\$0	\$50,586
E: Cash Flow Improvements	\$300	\$300
F: Wealth Building (Positioned)	\$191,800	\$300,800
TOTAL FIRST-YEAR VALUE (2026)	\$268,875	\$473,157

Values shown are modeled estimates for educational purposes. Actual results depend on market conditions, tax law changes, strategy eligibility, and individual circumstances. Conservative scenario reflects lower capital deployment with no real estate. Aggressive scenario includes real estate acquisition with professional property management. Verify all strategies with your CPA, financial advisor, and immigration attorney before implementation. 2026 limits shown.

Section 9: Calendar Awareness & Key Dates (2026)

DATE/PERIOD	ACTION ITEM	NOTES
Feb–Mar 2026	Complete 2025 tax return preparation	Maximize 2025 IRA and HSA contributions before April 15. Verify Solo 401(k) employer contributions for 2025.
April 15, 2026	2025 tax return deadline + 2025 IRA/HSA contribution deadline	File or extend. Make final 2025 prior-year contributions.
Q1–Q2 2026	Augusta Rule events (through Mei's S-Corp)	Schedule and document business use days. 14-day maximum.
Q1 2026	Begin children's employment (Mei's sole prop)	Set up payroll, document tasks, establish time-tracking system.
Q2 2026	Rental property acquisition (if pursuing aggressive scenario)	Professional property management in place. Title structure per attorney guidance.
Q2–Q3 2026	Section 179 equipment purchases (Mei's businesses)	Packaging equipment, potential delivery van. Purchase before Dec 31 for 2026 deduction.
June 15, 2026	Q2 estimated tax payment	Adjust for any W-4 optimization. Account for RSU withholding gap.
Sep 15, 2026	Q3 estimated tax payment	Review year-to-date withholding vs. projected liability.
Dec 31, 2026	401(k) employee deferral deadline (both Wei and Mei)	Wei: employer 401(k) \$24,500. Mei: Solo 401(k) employee portion \$24,500.
Dec 31, 2026	Section 179 / equipment purchases must be placed in service	Cannot defer to 2027.
Ongoing	Mei's H4 EAD renewal monitoring	H4 EAD must remain current for all YELLOW strategies to remain valid.
Ongoing	Green card case tracking (EB-1 China)	Monitor visa bulletin for priority date advancement. Current PD: Oct 2021.

Section 10: Questions for Your Professional Team

For Your CPA

#	QUESTION
1	What are the tax implications of Wei's ~\$120K RSU vestings, and how can we optimize withholding to avoid the 22% supplemental rate shortfall against the 32% marginal bracket?
2	Can Mei's business losses (from cost segregation on rental property) offset Wei's W-2 income on our MFJ return? What qualifications are needed — specifically REP hours documentation and the "majority of working time" test?
3	For Mei's children employment, what documentation do we need to withstand IRS scrutiny? What is the defensible compensation range for ages 8 and 12 doing packaging and office tasks?
4	Should we elect S-Corp for Mei's consulting LLC (currently sole prop at \$20K net)? At what revenue level does the S-Corp election create net savings after the CA \$800 franchise fee and payroll processing costs?
5	What Augusta Rule daily rate is defensible for our San Jose home? How do we document fair market value for IRS purposes?
6	How do we calculate Mei's Solo 401(k) limits across both businesses (S-Corp + sole prop) to ensure we don't exceed the \$24,500 employee deferral aggregate limit?
7	Do we have any FBAR or FATCA filing obligations for financial accounts maintained in China?
8	With the OBBBA \$40,000 SALT cap, should we revisit our itemized deduction strategy? What is our total SALT now vs. the new cap?

For Your Immigration Attorney

#	QUESTION
1	Can Mei legally operate a property management function (managing tenants, maintenance calls, lease administration) under her H4 EAD? Does this create any risk to her EAD status or Wei's green card application?
2	Does owning rental property in our personal names (jointly) affect Wei's green card application or H1B status in any way?
3	If Mei claims Real Estate Professional status on our tax return, does that create any H4 EAD compliance concerns? Some attorneys view REP as evidence of business operation — what is your position?
4	What happens to Mei's businesses and our rental property if Wei's I-140 were revoked? How should we plan for this contingency?
5	Should we structure property ownership differently for immigration compliance? Is it safer for Mei to hold title individually vs. jointly with Wei?
6	Can Mei's sole proprietorship employ our children (ages 8 and 12) without any H4 EAD implications?

For Your Financial Advisor

#	QUESTION
1	Given our H1B status and 3–5 year green card timeline, how should we balance liquidity needs against aggressive deployment into Bitcoin and real estate?
2	What is the appropriate RSU diversification strategy given both concentration risk and potential LTCG benefits from holding 12+ months post-vesting?
3	Should we use our \$400K HELOC at 7.5% for investment property down payments, or preserve the HELOC as an emergency facility given H1B visa uncertainty?
4	How should we think about our \$90K emergency fund — is that sufficient given our H1B dependency, or should it be higher given the household's \$14,200/month fixed expenses?

Section 11: Professional Team — Who to Consult for Implementation

PROFESSIONAL	ROLE IN YOUR STRATEGY	WHAT TO LOOK FOR
CPA (Tax Strategist)	Implements tax strategies, files returns, advises on entity structuring, cost segregation coordination, retirement contribution calculations	Experience with high-income visa holder households, multi-entity structures, S-Corp optimization, real estate taxation, and RSU/equity compensation. Your current CPA handles filing accurately but may not specialize in strategy — consider a strategy-focused CPA alongside your filing CPA.
Immigration Attorney	Reviews all YELLOW and ORANGE strategies for H1B/H4 compliance. Provides written guidance on gray areas (REP status, property ownership, children employment).	Must understand the intersection of tax strategy and immigration law. Not all immigration attorneys are familiar with concepts like REP status or Augusta Rule. Find one who works with high-income H1B clients implementing wealth strategies.
Financial Advisor (Fee-Only)	Investment allocation guidance, RSU diversification strategy, risk management, retirement planning	Fee-only (no commissions). Understanding of Bitcoin as an asset class. Familiarity with visa holder financial planning (emergency fund sizing, liquidity needs, exit strategy planning).
Real Estate Attorney	Property purchase agreements, LLC formation (if applicable), title review, landlord-tenant law in target state	Licensed in the state where you purchase property (TX, FL, or OH). Understanding of out-of-state investor structuring.
Property Management Company	Required for H1B compliance. Handles tenant screening, maintenance, rent collection, lease administration.	Licensed in the target market. Experienced with out-of-state owners. Typical fees: 8-10% of rent. Request references and management agreements before signing. This is non-negotiable for H1B compliance.
Cost Segregation Firm	Engineering-based study to reclassify building components for accelerated depreciation	Look for firms that produce IRS-compliant studies. Typical cost: \$3,000–\$5,000 for a single-family property. ROI is substantial if depreciation benefit exceeds study cost.

Section 12: Milestone Tracker

MILESTONE	TARGET	STATUS
Immigration attorney consultation completed	March 2026	☐
CPA strategy session (Augusta Rule, children employment, §179)	March 2026	☐
2025 tax return filed with cleanup items maximized	April 15, 2026	☐
Augusta Rule first event documented (Mei's S-Corp)	Q1 2026	☐
Children's employment set up in Mei's sole prop	Q1 2026	☐
Custodial Roth IRAs opened for both children	Q1 2026	☐
Investment deployment initiated (Bitcoin, STRC)	Q1 2026	☐
Property management companies identified and interviewed	Q2 2026	☐
First rental property acquired (aggressive scenario)	Q2–Q3 2026	☐
Cost segregation study ordered (if property acquired)	Within 30 days of acquisition	☐
Section 179 equipment purchased (Mei's businesses)	Before Dec 31, 2026	☐
Year-end tax projection with CPA	October 2026	☐
Bitcoin portfolio reaches \$200K+ (existing + new)	2026–2027	☐
Second rental property (if first successful)	2027	☐
Green card received (EB-1 China)	2027–2030 (est.)	☐
Post-GC: Launch Wei's consulting practice	Within 90 days of GC	☐
Target: \$30K+/month passive income	5-year horizon	☐

Section 13: Educational Resources

TOPIC	RESOURCE
H4 EAD Information	USCIS.gov — H4 Employment Authorization for certain H-4 dependent spouses
FBAR Filing	FinCEN.gov — Report of Foreign Bank and Financial Accounts (FBAR), Form 114
FATCA Filing	IRS.gov — Form 8938, Statement of Specified Foreign Financial Assets
IRC §280A(g) — Augusta Rule	IRS.gov — Publication 527 (Residential Rental Property)
Passive Activity Loss Rules	IRS.gov — Publication 925 (Passive Activity and At-Risk Rules)
Real Estate Professional Status	IRC §469(c)(7) — Material participation requirements and documentation
Cost Segregation	IRS.gov — Cost Segregation Audit Techniques Guide (ATG)
Solo 401(k) Setup	IRS.gov — One-Participant 401(k) Plans
Section 179 Deduction	IRS.gov — Publication 946 (How to Depreciate Property) — updated for OBBBA
S-Corp Reasonable Compensation	IRS.gov — S Corporation Compensation and Medical Insurance Issues
Bitcoin Education	Legacy Investing Show — Bitcoin thesis, DCA strategies, portfolio construction
STRC Education	Strategy.com — STRC preferred equity details, yield mechanics, risk factors
2026 IRS Limits	IRS Rev. Proc. 2025-32 — Official 2026 contribution limits and bracket thresholds
OBBBA Provisions	IRS.gov — One Big Beautiful Bill Act tax provisions summary

Section 14: Important Disclaimers

Educational Purpose

Educational Purpose: This Wealth Strategy Snapshot is provided for educational and illustrative purposes only. It does not constitute individualized investment, tax, or legal advice.

Not Investment Advice: Legacy Investing Show and its staff are not registered investment advisers. This document does not recommend the purchase, sale, or holding of any security. Investment scenarios presented are illustrative models for educational purposes only. All investments carry risk including potential loss of principal.

Not Tax Advice: Tax strategies discussed are educational explanations of how certain provisions work. Eligibility, implementation, and actual tax savings depend on your specific circumstances and must be verified by a qualified CPA or tax attorney before implementation.

Not Legal Advice: Entity structure, asset protection, and partnership discussions are educational. Consult a qualified attorney for legal guidance specific to your situation.

No Guarantees: Projected values, potential savings, and scenario outcomes are illustrative estimates based on assumptions stated. Actual results will vary based on market conditions, tax law changes, and individual circumstances. Past performance does not guarantee future results.

Investment Risk Disclosure: All investments involve risk. Bitcoin and cryptocurrency investments are highly volatile and speculative. Real estate investments carry risks including market fluctuations, vacancy, and unexpected expenses. STRC preferred equity carries risks specific to its structure and the issuing company. You could lose some or all of your invested capital.

Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of February 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025. Verify current rules with your tax professional.

Professional Consultation Required: Before implementing any strategy discussed in this document, consult with qualified licensed professionals including a CPA, attorney, and/or registered investment adviser who understand your complete financial situation.

Limitation of Liability: Legacy Investing Show assumes no liability for actions taken based on information in this educational document. You are solely responsible for your financial decisions.

Immigration Status Disclaimer

Not Immigration Advice: This document does not constitute immigration legal advice. Legacy Investing Show is not an immigration law firm and does not provide guidance on visa compliance, employment authorization, or immigration status. All strategies presented are filtered for general H1B/H4 compliance based on publicly available information, but individual circumstances vary significantly.

Immigration Attorney Required: Before implementing ANY strategy that involves business entity formation, active income generation, real estate management, or employment of family members, consult with a qualified immigration attorney who understands your specific visa status, I-140 status, and green card application timeline.

H4 EAD Dependency Risk: Strategies utilizing Mei's H4 EAD work authorization are contingent on Wei's continued valid H1B status and approved I-140 petition. If the I-140 is revoked or H1B status is lost, the H4 EAD may become invalid, which would affect all business operations and income conducted under that authorization.

Changing Regulations: H1B and H4 EAD regulations are subject to change through executive action, rulemaking, or legislation. The 2025 DHS final rule on H1B beneficiary-owned companies and H4 EAD authorization rules may be modified. Verify current regulations with your immigration attorney.

State-Specific Rules: Some states have additional requirements or restrictions for visa holders forming business entities, obtaining professional licenses, or purchasing real estate. Verify state-level compliance in California and any state where property is acquired.